

20 Jul 2026 03:35:37 ET | 12 pages

Alibaba Group Holding (BABA.N)

Thoughts on Qwen 3.8 Max Preview and Implications from Kimi K3 Release

CITI'S TAKE

We view the preview version of Alibaba's 2.4T-parameter Qwen 3.8 Max and the release of Moonshot AI's 2.8T-parameter Kimi K3 model underscore an accelerating AI race in China, where companies continuously leapfrog one another. We believe the rapid iteration could foster a "model-agnostic" environment, with enterprises adopting multi-model strategies to select the best model and best price for each task. This trend reduces the defensibility of any single model, shifting the competitive focus to the platforms and infrastructure that can seamlessly host and manage them. We believe long-term success will require immense resources, top talent, and a loyal paying customer base. Consequently, companies with full-stack capabilities, from chips and cloud infrastructure to models and applications, like Alibaba, could be better positioned to lead, in our view. We believe the market may also be overlooking the value of Tencent's real-world AI applications, like WorkBuddy, which has demonstrated decent traction recently.

Buy

Price (17 Jul 26 16:00)	US\$114.97
Target price	US\$192.00
Expected share price return	67.0%
Expected dividend yield	1.7%
Expected total return	68.7%
Market Cap	US\$275,591M

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What's new? – As reported by various news reports, including [Bloomberg](#) (July 19, 2026), Alibaba announced on its official X account that it has launched a preview version of its flagship Qwen 3.8 Max model on July 19, and described it as comparable to leading frontier AI models. Developers can access Qwen3.8 Max through Alibaba's coding platforms, including Qoder or QoderWork. Alibaba also noted on the post that Qwen 3.8 Max has 2.4trn parameters and that it will make the model open-weight soon. According to [MLQ.ai](#) (July 19, 2026), Qwen 3.8 is built on a sparse Mixture-of-Experts architecture and represents the team's first multimodal model exceeding one trillion parameters. It can process text, images, videos, and documents.

Kimi K3 release – Last week on July 16, [Moonshot AI](#) released its latest model, Kimi K3, which is a 2.8T-parameter model built on its Kimi Delta Attention and Attention Residuals, with native vision capabilities and a 1-million-token context window designed for long-horizon coding, knowledge work and reasoning. The full weight model will be released on July 27. Since Kimi K3 is the first open model to reach 2.8T parameters, several news outlets, including [Bloomberg](#) (July 18, 2026), reported that the Kimi K3 release has shocked industry professionals globally and might have led to the weakness of some AI-related stocks.

Our thoughts on the potential implications of Kimi 3 release for the China AI landscape – We believe the release of Kimi K3 highlights a significant trend in

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

China's AI sector: an accelerating race where companies continuously leapfrog one another with more advanced models. This rapid cycle of innovation escalates the competitive intensity across the industry. We believe the industry's future will likely be shaped not by a single breakthrough, but by a sustained marathon requiring immense resources and strategic positioning. We believe the long-term success of the industry will depend on strong capital funding to support model training and innovation, the ability to attract and retain top-tier AI talents, and an established and loyal customer base that is essential to generating recurring revenues and providing feedback loop. In our view, the prevalence of open-weight models in China is fostering a "model-agnostic" approach among enterprises and professionals. Rather than committing to a single AI provider, enterprises and users increasingly adopt a multi-model strategy, selecting the best-performing model for each specific task. This trend diminishes the defensibility of any single model and shifts the competitive focus toward the platforms and infrastructure that can seamlessly integrate and manage them, in our view. Hence, we believe companies possessing full-stack capabilities, spanning from chips to cloud infrastructure, models and applications are to be better positioned to lead and sustain their advantage. We continue to believe the market may be underappreciating the full-stack capabilities of Alibaba and Baidu. Similarly, Tencent's recent traction with WorkBuddy and the upcoming agentic AI in WeChat, which demonstrate the value of AI in real-life applications, could be overlooked by the market.

See also Citi Research's latest AI note: [Artificial Intelligence - Citi's Inference Ahead - Open Reaches the Frontier](#)

Alibaba Group Holding

Valuation

Our target price for Alibaba N-shares of US\$192 is based on 10x P/E on FY2027E Ecommerce group net profit, 7.0x P/S on FY2027E Cloud Intelligence Group revenue, 1.2x P/S on AIDC Group revenue, and 0.2x P/S on all other businesses. Our target multiples are benchmarked against comps. We also assign a 30% discount to net cash position, in-line with our SOTP for other internet peers. Our SOTP fair value comes to US\$192 per share.

Risks

Key downside risks that could prevent the shares from reaching our target price include: (i) failure in executing its new retail strategy; ii) investment spend and margins pressure become worse than expected; iii) slowdown of user traffic and online GMV and losing appeal to brands & merchants; iv) integration risks for newly acquired entities; v) slowdown of the Chinese and global economies and overhang of US-China or other trade disputes; and vi) regulatory risks on poor product quality and integrity of merchants.

Alibaba

(9988.HK; HK\$112.6; 1; 17 Jul 26; 16:10)

Valuation

Our target price for Alibaba H-shares of HK\$191 is based on 10x P/E on FY2027E Ecommerce Group net profit, 7.0x P/S on FY2027E Cloud Intelligence Group revenue, 1.2x P/S on AIDC Group revenue, and 0.2x P/S on all other businesses. Our target multiples are benchmarked against comps. We also assign a 30% discount to net cash position, in-line with our SOTP for other internet peers. Our SOTP fair value comes to HK\$191 per H-share.

Risks

Key downside risks that could prevent the shares from reaching our target price include: (i) failure in executing its new retail strategy; ii) investment spend and margins pressure become worse than expected; iii) slowdown of user traffic and online GMV and losing appeal to brands & merchants; iv) integration risks for newly acquired entities; v) slowdown of the Chinese and global economies and overhang of US-China or other trade disputes; and vi) regulatory risks on poor product quality and integrity of merchants.

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Appendix A-1

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Ratings and Target Price History
Fundamental Research

Analyst: Alicia Yap, CFA



Date	Rating	Target Price	Closing Price
1 10-Aug-23 20:47:07	1	*151.00	97.59
2 08-Oct-23 17:09:43	1	*147.00	84.66
3 16-Nov-23 18:13:37	1	*142.00	77.82
4 09-Jan-24 13:40:44	1	*125.00	70.85
5 07-Feb-24 18:37:09	1	*126.00	72.44
6 09-Apr-24 18:25:26	1	*124.00	71.80
7 15-May-24 04:34:45	1	*122.00	79.67
8 15-Aug-24 16:50:03	1	*116.00	78.91

Date	Rating	Target Price	Closing Price
9 29-Sep-24 22:45:36	1	*136.00	106.48
10 09-Oct-24 09:54:52	1	*135.00	107.04
11 17-Nov-24 16:15:27	1	*133.00	87.89
12 09-Jan-25 17:58:55	1	*138.00	83.03
13 20-Feb-25 16:33:13	1	*170.00	134.90
14 08-Apr-25 05:01:59	1	*169.00	98.59
15 10-Jul-25 07:57:24	1	*148.00	106.64
16 31-Aug-25 17:30:14	1	*187.00	135.00

Date	Rating	Target Price	Closing Price
17 24-Sep-25 15:11:51	1	*217.00	176.44
18 08-Oct-25 07:59:47	1	*218.00	181.12
19 25-Nov-25 16:54:34	1	*225.00	157.01
20 08-Jan-26 09:37:26	1	*197.00	154.47
21 19-Mar-26 16:25:38	1	*200.00	124.90
22 08-Apr-26 06:24:46	1	*205.00	125.32
23 13-May-26 16:47:38	1	*208.00	145.81
24 08-Jul-26 06:13:19	1	*192.00	108.98

*Indicates Change

Rating/target price changes above reflect Eastern Time

Alibaba (9988.HK)

Ratings and Target Price History Fundamental Research

Analyst: Alicia Yap, CFA



	Date	Rating	Target Price	Closing Price
1	10-Aug-23 20:47:07	1	*148.00	93.46
2	08-Oct-23 17:09:43	1	*144.00	82.16
3	16-Nov-23 18:13:37	1	*140.00	80.62
4	09-Jan-24 13:40:44	1	*122.00	69.13
5	07-Feb-24 18:37:09	1	*124.00	74.23
6	09-Apr-24 18:25:26	1	*122.00	69.87
7	15-May-24 04:34:45	1	*120.00	81.91
8	15-Aug-24 16:50:03	1	*115.00	75.80

*Indicates Change

	Date	Rating	Target Price	Closing Price
9	29-Sep-24 22:45:36	1	*135.00	101.70
10	09-Oct-24 09:54:52	1	*133.00	102.09
11	17-Nov-24 16:15:27	1	*132.00	86.52
12	09-Jan-25 17:58:55	1	*137.00	79.97
13	20-Feb-25 16:33:13	1	*166.00	119.95
14	08-Apr-25 05:01:59	1	*165.00	101.70
15	10-Jul-25 07:57:24	1	*144.00	103.20
16	31-Aug-25 17:30:14	1	*183.00	115.70

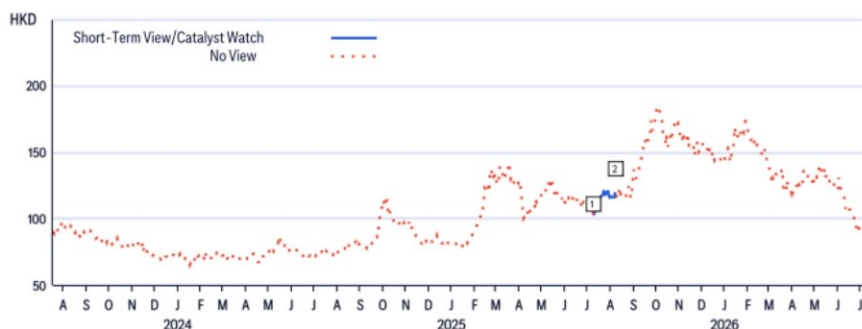
	Date	Rating	Target Price	Closing Price
17	24-Sep-25 15:11:51	1	*215.00	174.00
18	08-Oct-25 07:59:47	1	*216.00	177.60
19	25-Nov-25 16:54:34	1	*223.00	157.80
20	08-Jan-26 09:37:26	1	*195.00	142.60
21	19-Mar-26 16:25:38	1	*199.00	132.00
22	08-Apr-26 06:24:46	1	*204.00	126.50
23	13-May-26 16:47:38	1	*207.00	132.80
24	08-Jul-26 06:13:19	1	*191.00	107.50

Rating/target price changes above reflect Eastern Time

Alibaba (9988.HK)

Short-Term View/Catalyst Watch Research

Analyst: Alicia Yap, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	10-Jul-25 03:57:24	Add STV	Downside	30 Days	103.20

CW - Catalyst Watch, STV - Short-Term View

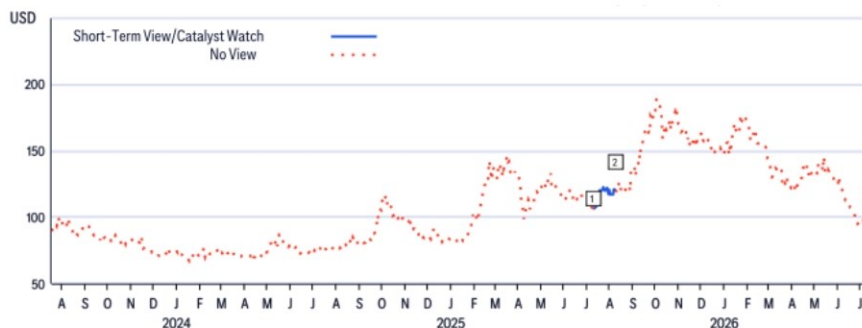
	Date	Action	Expected Direction	Duration	Closing Price
2	08-Aug-25 14:18:01	Remove STV	Downside	30 Days	116.30

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Alibaba Group Holding (BABA)

Short-Term View/Catalyst Watch Research

Analyst: Alicia Yap, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	10-Jul-25 03:57:24	Add STV	Downside	30 Days	106.64

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
2	08-Aug-25 14:17:52	Remove STV	Downside	30 Days	120.36

Rating/target price changes above reflect Eastern Time

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